

EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores
Large Cap (>\$200B) · Report Date: June 12, 2026
Latest financials: Q1 FY2026 · Model data as of 2026-06-12

BUY

Blended Target: \$138.37

DCF + Comps + Analyst (see cross-check table)

Implied upside: +15.5%

Price (Jun): \$119.75

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$138.37 (+15.5% vs \$119.75); analyst-led valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **BUY** rating; blended target \$138.37. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$952.98B	Shares Out.	7958.1M
52-Week Range	\$93.62 – \$135.16	P/E (TTM)	42.2x
P/B	9.6x	Beta	0.60
Avg Volume	20.54M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$713.16B	Rev Growth	+4.7%
Op. Margin	4.2%	FCF (TTM)	\$14.92B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	680,985	713,163	746,861	777,167	805,070
Revenue Growth (%)	N/A	4.7%	4.7%	4.1%	3.6%
Net Income (\$M)	19,436	21,893	22,927	23,858	24,714
Net Income Growth (%)	N/A	12.6%	4.7%	4.1%	3.6%
Gross Margin (%)	24.9%	24.9%	25.0%	25.0%	25.0%
Net Margin (%)	2.9%	3.1%	3.1%	3.1%	3.1%
ROE (%)	21.4%	22.0%	23.0%	21.7%	21.4%
EPS (\$)	2.44	2.75	2.88	3.00	3.11
Book Value / Share (\$)	11.44	12.52	12.52	13.80	14.49
P/E (x)	49.03	43.53	41.56	39.94	38.56
P/B (x)	10.47	9.57	9.57	8.68	8.26
Dividend Yield (%)	82.0%	82.0%	82.0%	82.0%	82.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$87.91	-26.6%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — P/E (peer median)	\$89.30	-25.4%	—	Peer median P/E 31.4x
Comps — EV/EBITDA (peer median)	\$148.71	+24.2%	—	Peer median 26.7x
Comps — P/S (peer median)	\$937.41	+682.8%	—	Peer median P/S 10.5x
Comps — Blended (avg. of available multiples)	\$391.81	+227.2%	0% (excluded)	Diverges above other methods (283% of median)
Analyst consensus (Yahoo Finance)	\$138.37	+15.5%	100%	Included in blend
Blended target (weighted)	\$138.37	+15.5%	100%	Analyst 100%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$16.00B
PV explicit (5Y)	\$90.64B
PV terminal	\$583.71B
Equity value (adj.)	\$699.63B
Implied price	\$87.91
vs. current	-26.6%

INDUSTRY ANALYSIS

1. Industry Overview

Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates through three segments: Walmart U.S., Walmart International, and Sam's Club U.S. It operates supercenters, supermarkets, warehouse clubs, cash and carry stores, and discount stores under Walmart and Walmart Neighborhood Market brands;...

2. Key Trends

- Moderate revenue expansion (4.7% YoY)
- Defensive profile (β=0.60)
- Sector: Consumer Defensive | Industry: Discount Stores

3. Risk Factors

- Premium valuation (P/E: 42.2x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$4.98T	31.4x	29.7x	63.0%	+85.2%
GOOGL	Alphabet Inc.	\$4.42T	27.7x	26.7x	37.9%	+21.8%
AAPL	Apple Inc.	\$4.28T	35.3x	27.2x	27.2%	+16.6%
MSFT	Microsoft Corporation	\$2.88T	23.1x	16.0x	39.3%	+18.3%
WMT*	Walmart Inc.	\$952.98B	42.2x	23.0x	3.1%	+4.7%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.